UNIT II FORMS OF BUSINESS ORGANISATION

CHAPTER 7

COOPERATIVE ORGANISATION

VNP3C

Learning Objectives

To enable the students to understand

i. the meaning of Cooperatives,
ii. the characteristics, advantages and disadvantages,
iii. the principles of Cooperatives,
iv. the types of Cooperatives.

7.01 Meaning and Definition

A cooperative is a form of business organisation which is owned and controlled by the people who use its products, supplies or services. Although cooperatives vary in type and membership size, all were formed to meet the specific objectives of members, and are structured to adapt to member's changing needs.



DO YOU KNOW?

In 1844,in England, 28weavers (Rochdale Pioneers) started the first ever Cooperative Society.

Cooperatives are formed by individuals who coordinate among themselves (horizontal coordination) to achieve vertical integration in their business activities.

Cooperatives were useful for promoting the interests of the less powerful members of society. Farmers, producers, workers, and consumers found that they could accomplish more collectively than they could individually.

Although people have been working together for their mutual benefit throughout human history, the cooperative form of business organization began during the Industrial Revolution. At first, the cooperative movement was started by Robert Owen, in the year 1844. He formed a consumer's cooperative society in England with 28 workers as members, called "Rochdale Society of Equitable Pioneers". This gradually led to world-wide movement of organising, cooperatives in various fields of economic activity such as credit, farming, marketing, processing, housing, transport, insurance, fisheries, poultry, dairying, etc., The main object of the cooperative movement was to bring solace and comfort to the needy persons by pursuing common economic interests through cooperative trading. Profit is not a main objective.



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